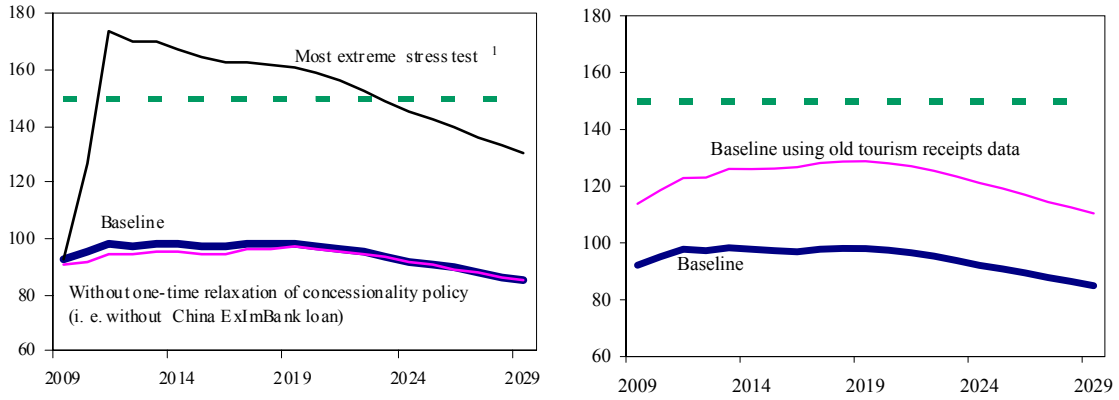
Box 2. Rwanda: Update of Selected DSA Indicators

An upward revision of tourism travel receipts in the balance of payment statistics has led to a significant improvement in the debt sustainability analysis (DSA). The authorities have adopted a revised methodology for estimating travel receipts that has led to a marked upward revision of these estimates. As a result, the ratio of the PV of external public and publicly guaranteed (PPG) debt to exports of goods and services (traditionally the weakest DSA indicator for Rwanda) has improved considerably. While staff broadly agrees with the methodology used in estimating tourism receipts, there remain concerns—both from the authorities and staff—about a potential overestimation of tourism receipts. Staff therefore encourages the authorities to pursue their efforts to refine these estimates. The revised estimates suggest that Rwanda remains at a moderate risk of debt distress.

The contracting of nonconcessional loan from China ExImBank did not significantly worsen Rwanda's debt sustainability (see charts below).

Rwanda. External PPG Debt-to-Exports Ratio Under Alternative Scenarios

(All scenarios include the China ExImBank loan, unless otherwise noted)



[1] Export value growth at historical average minus one standard deviation in 2010–11.

C. Monetary and Exchange Rate Policy

23. **The monetary program will aim to balance the objectives of reaching single-digit inflation while providing sufficient liquidity to banking system.** The agreed broad money targets for 2009/10 allow private sector credit growth of about 20 percent, consistent with the projected economic growth and single-digit inflation, and taking into account the envisaged external borrowing by commercial banks (Table 3).

24. **Reserve money will remain the anchor of the monetary program.** Staff emphasized the need for the reserve money target to be met on average, not only at end-month, through the coordinated use of available monetary policy instruments (sales of domestic securities and foreign currency). A more active use of interest rate policy supported by a proper communications strategy would help anchor interest rate expectations, reduce

volatility, and strengthen the monetary policy transmission mechanism. The quantitative targets for reserve money were rebased to reflect the reduction of the reserve requirement and to accommodate a buffer of excess reserves (RwF 4 to 5 billion) that would support the efficient operations of the payments system and the inter-bank market for short-term liquidity.

25. **Staff pointed out that greater exchange rate flexibility may be needed to stem the loss of foreign exchange reserves should the balance of payments deteriorate more than currently envisaged.** Greater exchange rate flexibility may be required to counter the adverse effects of the global economic crisis and the impact of large real appreciation in 2008 that has affected external competitiveness. Developing a market based exchange rate, either by returning to the auction system or by moving swiftly toward an interbank foreign exchange market,[7] would provide an excellent opportunity to foster such flexibility. The authorities broadly agreed with this approach (MEFP ¶38).

26. **Liquidity forecasting and coordination of fiscal and monetary policies need to be further improved**. Staff encouraged the authorities to make liquidity management and monetary policy more effective by strengthening liquidity forecasting and improving coordination of fiscal and monetary policies. This would include enhanced monitoring of the domestic demand impact of fiscal spending and prompt adjustments in sterilization policies of the NBR to prevent shocks to domestic demand (MEFP ¶41).

D. Addressing Credit Stagnation and Strengthening the Banking Sector

27. **Government intervention will be required to complement efforts of the commercial banks to address the problem of maturity mismatches and the risks of prolonged credit stagnation.** Staff welcomed efforts by some large commercial banks[8] and the Rwanda Development Bank to directly borrow from international multilateral financial institutions for onlending to the private sector. It also recommended that the NBR establish a system to monitor external private sector debt. However, in light of the uncertainty regarding the availability of external financing for the banking sector, staff supports the authorities' proposal for a limited transfer of governments deposits from the NBR to commercial banks to encourage longer-term investment lending needed to sustain economic growth (MEFP ¶42). The scheme includes a number of safeguards, namely, commercial banks' voluntary participation, freedom to set the lending rates, their full assumption of credit risk, and exclusion of undercapitalized banks.

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[7] Recommendations of the MCM TA mission to Rwanda (September 22– October 7, 2008).

[8] The larger banks have approached such institutions as FMO, EIB, IFC, and the ADB with requests for foreign currency loans.

28. **Staff recommended a number of measures to strengthen the health of the banking sector.** These measures address liquidity and credit risks, corporate governance and risk management of commercial banks; as well as risk-based supervision and staffing of bank supervision (MEFP ¶44).

IV. Performance Monitoring and Structural Reforms after the PRGF

29. **Staff discussed with the authorities Rwanda's relations with the Fund after the extended PRGF arrangement ends in August 2009**. The authorities expressed an interest in a PSI from 2010 and to hold discussions on the PSI in early 2010 together with the consideration of the 2010/11 budget (MEFP ¶1).

30. **To facilitate the transition to a possible new program, staff and authorities agreed to set indicative targets and structural reform measures for the upcoming fiscal year.** The authorities' MEFP outlines their macroeconomic policies for the 2009/10 (MEFP ¶¶33–53). After the PRGF arrangement expires, staff and the authorities will continue informal monitoring of the agreed targets.

31. **Structural policies will continue to build on the broad based achievements of the past years.** Focus will be on further reforms in the areas of public financial management, tax administration, financial sector development and improvement in the business environment.

V. Staff Appraisal

32. **Rwanda's economic performance was broadly satisfactory in the second half of 2008.** All program performance criteria and indicative targets were met, except for the indicative target on the present value of external debt, which was missed due to frontloading of disbursements for externally financed projects. Economic growth reached double digits, yet inflation increased to over 20 percent in the second half of 2008 due to rising world commodity prices and domestic demand expansion. Inflation pressures abated in early 2009, and the government's objective to return inflation to single digits in the second half of this year is well within reach.

33. **External and domestic shocks in early 2009 were challenging, and the policy response was broadly appropriate.** Escalating conflict in the Eastern DRC temporarily worsened the security situation, and Rwanda's military involvement in its resolution necessitated additional budget spending. The world economic crisis began to affect Rwanda, and falling international prices and external demand caused a sharp contraction in the country's exports in the first quarter of the year. Even though imports are expected to adjust in the coming months, proactive policy actions may be needed to ensure balance of payments sustainability. While prompt actions by the NBR have largely resolved short-term liquidity shortages in the banking system, a limited transfer of government deposits from the central bank to commercial banks is appropriate to help prevent the prolonged stagnation of credit to the private sector.

34. **Staff recommended that the NBR's monetary and exchange rate policies need to become more proactive.** The NBR should be ready to use exchange rate policy to ensure long-term sustainability of the balance of payments. Adherence to the agreed targets for reserve money consistent with single-digit inflation would provide a nominal anchor for monetary policy. Flexibility in the use of policy interest rates and strengthening the monetary policy framework will be essential for improving the monetary policy transmission mechanism and supporting financial deepening.

35. **Staff urged the NBR to strengthen the functioning of the banking system and improve bank supervision.** Weaknesses in risk management and corporate governance of commercial banks should be addressed. Additionally, the NBR should improve its staffing capacity and supervisory and monitoring tools.

36. **Additional policy adjustments may be required should the world economic crisis and its impact on Rwanda worsen beyond current expectations or should the domestic banking situation deteriorate further.** These may include actions to sustain external and budget sustainability, which can be affected by falling exports and diminishing fiscal revenues. In addition, the situation in the banking sector warrants close monitoring and prompt government support if liquidity shortages reoccur or solvency problems arise.

37. **Staff welcomes the authorities' continued commitment to structural reforms.** Staff encourages the authorities to persevere with the PFM and budget reforms, strengthening revenue administration and implementing the financial sector reform program. These efforts are also supported by Rwanda's developmental partners.

38. **Staff supports the requested waivers for nonobservance of the program performance criteria on contracting new nonconcessional external debt and nonintroduction of MCPs and recommends completion of the sixth review under the PRGF arrangement.**

Table 1: Rwanda: Selected Economic and Financial Indicators, 2006–10

	2006	2007	2008		2008[1]	2009[1]	2010
			Proj.	Est.	Est.	Proj.	Proj.
	(Annual percentage changes, unless otherwise indicated)						
Output and prices							
Real GDP growth	7.3	7.9	8.5	11.2	11.2	5.3	5.2
Real GDP (per capita)	5.4	5.7	6.2	8.9	8.9	3.1	3.1
GDP deflator	9.4	10.5	15.3	17.4	17.4	12.1	6.2
Consumer prices (period average)	8.9	9.1	15.0	15.4	15.4	11.5	6.3
Consumer prices (end of period)	12.2	6.6	22.0	22.3	22.3	6.0	5.0
External sector							
Export of goods, f.o.b (in U.S. dollars)	16.9	20.0	25.4	45.1	45.1	-22.6	22.9
Imports of goods, f.o.b (in U.S. dollars)	26.2	30.2	43.9	51.5	51.5	-5.6	7.6
Export volume	13.2	3.1	13.0	29.5	29.5	-17.9	14.6
Import volume	27.0	31.0	24.0	20.2	20.2	10.7	3.6
Terms of trade (deterioration = -)	3.9	17.2	-4.4	-11.1	-11.1	10.6	3.3
Money and credit[2]							
Net domestic assets[3]	1.3	7.3	1.3	-5.3	13.2	-3.9	15.6
Domestic credit[3]	7.8	12.0	1.3	-4.7	20.4	0.4	15.3
Government[3]	-6.0	0.2	-9.5	-18.2	-18.1	-4.2	4.1
Economy[3]	13.8	11.8	10.8	13.6	38.6	4.6	11.2
Broad money (M2)	31.5	30.8	13.6	5.5	24.2	-2.4	14.0
Reserve money[4]	11.9	30.7	22.3	23.5 [5]	23.5	0.8	14.0
Velocity (GDP/M2; end of period)	5.4	5.0	5.5	6.2	5.2	6.3	6.2
	(Percent of GDP)						
National income accounts							
National savings	6.9	7.9	5.0	8.6	8.6	4.8	5.6
Gross investment	20.4	21.0	23.4	24.1	24.1	22.6	22.5
Of which: private (including public enterprises)	12.8	12.4	12.5	13.1	13.1	11.4	11.9
Government finance							
Total revenue (excluding grants)	13.3	13.6	14.2	15.6	15.6	13.1	13.3
Total expenditure and net lending (excluding privatization proceeds)	24.5	26.1	27.7	26.8	26.8	27.0	26.2
Capital expenditure	7.6	8.6	10.9	11.0	11.0	11.2	10.6
Current expenditure	16.3	16.8	15.8	15.1	15.1	15.6	15.3
Primary fiscal balance[6]	-2.1	-3.5	-3.1	-1.4	-1.4	-6.0	-4.1
Domestic fiscal balance[7]	-5.4	-6.1	-6.5	-6.2	-6.2	-8.1	-6.5
Overall balance (payment order)							
After grants	-0.4	-1.5	0.1	0.5	0.5	-1.2	-3.1
Before grants	-11.1	-11.3	-13.0	-11.0	-11.0	-13.8	-12.9
Domestic Debt	12.1	10.6	8.5	5.1	5.1	3.5	...
External sector							
External current account balance[8]							
Including official transfers	-4.7	-2.4	-7.1	-5.5	-5.5	-6.6	-9.5
Excluding official transfers	-13.5	-13.1	-18.4	-15.5	-15.5	-17.8	-16.8
External debt (end of period)[9]	17.1	16.8	15.4	15.2	15.2	16.7	19.2
Net present value of external debt[8, 9] (percent of exports of goods and services)	53.1	57.7	74.3	49.9	49.9	91.9	93.3
Scheduled debt service ratio[8] (percent of exports of goods and services)	2.9	2.4	2.8	1.1	1.1	2.9	2.6
Gross reserves (in months of imports of goods and services)	5.6	4.8	5.1	5.3	5.3	4.8	4.4
	(Millions of U.S. dollars)						
Gross official reserves	439.6	552.4	599.0	596.4	596.4	580.4	551.3
Memorandum item:							
Nominal GDP (billions of Rwanda francs)	1,563.8	1,866.1	2,333.1	2,437.2	2,437.2	2,877.5	3,215.3

Sources: Rwandan authorities; and IMF staff estimates and projections.

[1] Reflects the operations of the Union Banques Populaires du Rwanda (UBPR)—a large microfinance network— that was transformed into a commercial bank in Frebuary 2008.

[2] Data are based on program exchange rate of RF 553.7/US$ for 2006, RF 549.9/US$ for 2007, RF 545/US$ for 2008, and RF 576.8/US$ for 2009.

[3] As a percent of the beginning-of-period stock of broad money.

[4] Increase in 2007 reflects rebasing of the monetary program; reserve money growth was limited to 13 percent after correcting for the rebasing at end-2006.

[5] The outcome on reserve money includes the operations of Bank Populaire du Rwanda, which was incorporated as a bank in 2008 and hence was not included in the reserve money program target.

[6] Revenue excluding grants minus current expenditure except interest due and exceptional expenditure (AU peacekeeping expenditures and spending on demobilizing and intergrating militia groups) minus domestically financed capital expenditure.

[7] Revenue excluding grants minus current expenditure (excluding external interest) minus domestically financed capital expenditure and net lending.

[8] Revision of methodology resulted in sharp increase of tourism revenues, thus increasing exports of services.

[9] After rescheduling, including arrears and new debt.

Table 2a. Rwanda: Operations of the Central Government, Calendar Year Basis, 2006–09

	2006	2007	2008				2009			
			June	Sep	December		March		June	
					Prog.	Est.	Prog.	Est.	Prog.	Proj.
	(Billions of Rwandan francs)									
Revenue and grants	376.0	436.8	318.8	448.6	590.2	660.7	182.4	124.5	363.6	354.0
Total revenue	208.2	252.9	161.6	249.5	294.9	381.0	94.6	94.0	193.0	195.1
Tax revenue	193.6	237.8	150.9	235.0	272.6	328.7	86.3	91.1	176.0	178.1
Direct taxes	64.5	85.8	60.9	90.8	96.6	123.1	31.9	31.4	65.0	70.2
Taxes on goods and services	95.5	121.0	71.4	114.4	142.0	161.7	42.8	46.2	87.2	88.5
Taxes on international trade	33.6	31.0	18.6	29.8	34.0	43.9	11.7	13.6	23.8	19.4
Nontax revenue	14.6	15.1	10.8	14.5	22.3	52.3	8.3	2.9	17.0	17.0
ID receipts	…	…	0.6	1.8	5.5	3.2	0.7	0.7	1.5	1.5
Grants	167.8	183.8	157.2	199.1	295.3	279.8	87.8	30.5	170.6	158.9
Budgetary grants	71.9	133.3	122.3	143.6	187.2	185.7	60.6	11.4	115.2	127.4
Of which: HIPC Initiative assistance	12.3	2.5	1.8	2.1	3.2	3.8	0.0	0.0	1.9	2.1
Capital grants	95.9	50.5	34.9	55.5	108.1	94.1	27.1	19.1	55.4	31.5
Project grants	53.5	50.5	34.9	55.5	108.1	94.1	27.1	19.1	55.4	31.5
Total expenditure and net lending	382.5	464.5	270.7	447.1	607.6	649.8	171.9	185.2	349.8	359.8
Total expenditure and net lending excluding privatization receipts	382.5	486.6	274.3	450.7	624.7	653.4	171.9	185.2	349.8	359.8
Current expenditure	254.1	312.6	173.9	275.3	369.0	368.5	101.7	109.1	206.5	220.6
Of which: priority	127.7	161.0	89.8	145.3	193.0	204.8	50.4	57.8	103.0	103.0
Wages and salaries	62.2	73.4	40.1	62.4	83.7	84.2	24.4	22.2	48.7	47.5
Civil	41.2	53.7	28.6	45.1	60.1	61.0	17.7	15.6	35.3	34.1
Defense	21.0	19.7	11.5	17.3	23.6	23.2	6.7	6.5	13.4	13.4
Purchases of goods and services	71.6	77.5	35.1	56.9	78.2	80.3	24.7	27.9	50.5	62.3
Civil	62.4	66.8	29.4	47.9	64.8	66.9	21.3	18.8	43.5	49.9
Defense	9.1	10.7	5.8	9.0	13.4	13.4	3.4	9.1	7.0	12.4
Interest payments	14.8	11.0	5.9	8.6	12.8	12.6	2.7	2.0	5.6	5.6
Domestic debt (due)	8.6	8.7	3.9	6.2	9.6	8.9	2.0	1.3	4.0	3.5
External debt (due)	6.2	2.3	1.9	2.4	3.2	3.8	0.8	0.7	1.6	2.1
Transfers	71.9	103.8	64.2	100.7	136.2	130.4	38.4	41.9	78.4	81.8
Exceptional expenditure	33.7	46.9	28.7	46.7	58.1	60.9	11.4	15.2	23.3	23.5
Of which: FARG	9.0	11.1	8.9	12.4	12.8	12.5	4.5	3.5	9.1	9.1
Demobilization	3.4	3.9	2.4	4.5	5.0	5.9	1.2	1.0	2.4	3.5
African Union peacekeeping	10.9	11.0	5.3	9.8	10.0	15.9	3.9	6.6	8.0	9.1
Capital expenditure	118.7	159.9	96.1	163.8	245.7	267.8	68.6	70.6	139.9	135.8
Of which: priority	19.8	48.4	38.3	73.7	79.3	106.0	27.2	28.5	55.6	55.6
Domestic	35.7	63.7	45.6	82.9	99.7	119.2	33.0	35.0	67.3	66.9
Foreign [1]	83.0	96.2	50.5	80.9	145.9	148.5	35.6	35.6	72.6	68.9
Net lending and privatization receipts [2]	9.6	-8.1	0.7	8.0	-7.0	13.5	1.7	5.5	3.4	3.4
Of which: priority	4.1	4.8	1.3	1.7	2.8	2.3	0.6	2.4	1.2	1.2
Of which: Rwandatel net receipts	--	22.1	3.6	3.6	13.6	3.6				
Of which: BK receipts	--	--	--	--	3.5	0.0				
Primary balance [3]	-33.2	-65.5	-23.4	-53.5	-103.0	-33.2	-25.9	-32.9	-51.9	-63.4
Domestic fiscal balance [4]	-85.1	-113.0	-56.6	-114.4	-163.6	-149.9	-40.9	-54.9	-82.6	-93.7
Excluding demobilization and peacekeeping expenditures [5]	-70.8	-98.2	-48.9	-100.1	-148.6	-128.1	-35.8	-47.3	-72.2	-81.1
Net liquidity impact [6]	-13.4	-62.5	-28.3	-28.3	-67.7	-50.7	-14.5	-27.8	-22.2	-26.0
Including nonbank domestic debt operations	-12.9	-74.8	-31.2	-31.2	-65.8	-66.4	-14.5	-30.1	-22.2	-30.9
Overall deficit (payment order)										
After grants	-6.5	-27.7	48.1	1.5	-17.5	11.0	10.5	-60.6	13.8	-5.8
Before grants	-174.3	-211.6	-109.0	-197.7	-312.8	-268.8	-77.3	-91.2	-156.8	-164.7
Change in arrears [7]	-7.5	-8.5	-4.0	4.6	-7.0	-8.0	-1.6	4.0	-3.3	-3.3
Domestic	-7.5	-8.5	-4.0	4.6	-7.0	-8.0	-1.6	4.0	-3.3	-3.3
External	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Deficit (-)	-14.0	-36.2	44.1	6.1	-24.5	3.0	8.9	-56.7	10.5	-9.1

Table 2a. Rwanda: Operations of the Central Government, Calendar Year Basis, 2006–09 (concluded)

	2006	2007	2008				2009			
			June	Sep	December		March		June	
					Prog.	Est.	Prog.	Est.	Prog.	Proj.
	(Billions of Rwandan francs)									
Financing	15.2	36.2	-44.2	-6.1	24.5	-3.0	-8.8	56.7	-10.5	9.1
Foreign financing (net)	25.9	43.7	17.9	27.6	37.9	56.4	6.7	15.7	13.7	34.1
Drawings	37.7	48.2	20.8	31.1	41.8	60.4	8.4	16.4	17.2	37.4
Budgetary loans	8.2	0.6	5.2	5.8	3.8	5.9	0.0	0.0	0.0	0.0
Project loans	29.5	47.7	15.6	25.3	38.0	54.4	8.4	16.4	17.2	37.4
Amortization	-11.8	-4.5	-2.9	-3.5	-3.9	-4.0	-1.7	-0.8	-3.5	-3.3
Net domestic financing	-10.7	-7.5	-62.1	-33.7	-13.4	-59.4	-15.6	41.0	-24.2	-25.0
Net credit from banking system	-11.2	4.8	-59.2	-27.6	-15.3	-43.7	-15.6	43.3	-24.2	-20.1
Nonbank sector (including CSR repayment) [8]	0.5	-12.3	-2.9	-6.1	1.8	-15.7	0.0	-2.3	0.0	-4.9
Errors and omissions / Financing gap [9]	1.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	-0.1
	(Percent of GDP, unless otherwise indicated)									
Memorandum items:										
Revenue and grants	24.0	23.4	13.1	18.4	28.4	27.1	6.7	4.3	13.3	12.3
Grants	10.7	9.9	6.4	8.2	14.2	11.5	3.2	1.1	6.2	5.5
Revenue, excluding grants	13.3	13.6	6.6	10.2	14.2	15.6	3.5	3.3	7.0	6.8
Revenue, excluding grants (percent of monetized sector GDP)	21.2	20.8	10.5	16.1	22.3	24.7	7.4	5.3	11.3	10.9
Total expenditure and net lending	24.5	24.9	11.1	18.3	29.2	26.7	6.3	6.4	12.8	12.5
Total expenditure and net lending excluding privatization receipts	24.5	26.1	11.3	18.5	30.0	26.8	6.3	6.4	12.8	12.5
Of which: total priority expenditures	9.7	11.5	5.3	9.1	13.2	12.8	2.9	3.1	5.8	5.6
Total expenditure	23.8	25.3	11.1	18.0	29.5	26.1	6.2	6.2	12.7	12.4
Current expenditure	16.3	16.8	7.1	11.3	17.7	15.1	3.7	3.8	7.5	7.7
Of which: wage bill	4.0	3.9	1.6	1.7	4.0	3.5	0.9	0.8	1.8	1.6
goods and services	4.6	4.2	1.4	1.6	3.8	3.3	0.9	1.0	1.8	2.2
Of which: defense/security	1.9	1.6	0.7	0.7	1.8	1.5	0.4	0.5	0.7	0.9
exceptional expenditure	2.2	2.5	1.2	0.9	2.8	2.5	0.4	0.5	0.9	0.8
Capital expenditure	7.6	8.6	3.9	6.7	11.8	11.0	2.5	2.5	5.1	4.7
Domestic fiscal balance	-5.4	-6.1	-2.3	-4.7	-7.9	-6.2	-1.5	-1.9	-3.0	-3.3
Excluding demobilization and peacekeeping expenditures [5]	-4.5	-5.3	-2.0	-4.1	-7.1	-5.3	-1.3	-1.6	-2.6	-2.8
Of which : domestic expenditure	17.8	18.8	8.6	14.3	21.3	20.9	4.8	4.9	9.7	9.6
Net liquidity impact[6]	-0.9	-3.3	-1.2	-2.3	-3.3	-2.1	-0.5	-1.0	-0.8	-0.9
Including nonbank domestic debt operations	-0.8	-4.0	-1.3	-2.5	-3.2	-2.7	-0.5	-1.0	-0.8	-1.1
Primary balance [3]	-2.1	-3.5	-1.0	-2.2	-4.9	-1.4	-0.9	-1.1	-1.9	-2.2
Overall deficit (payment order)										
After grants	-0.4	-1.5	2.0	0.1	-0.8	0.5	0.4	-2.1	0.5	-0.2
Before grants	-11.1	-11.3	-4.5	-8.1	-15.0	-11.0	-2.8	-3.2	-5.7	-5.7
Net domestic financing	-0.7	-0.4	-2.5	-1.4	-0.6	-2.4	-0.6	1.4	-0.9	-0.9
Net credit from banking system	-0.7	0.3	-2.4	-1.1	-0.7	-1.8	-0.6	1.5	-0.9	-0.7
Nominal GDP (RF billions)	1,563.8	1,866.1	2,437.2	2,437.2	2,081.1	2,437.2	2,737.6	2,877.5	2,737.6	2,877.5
Of which: monetized sectors	982.7	1,216.5	1,545.4	1,545.4	1,319.6	1,545.4	1,703.3	1,790.3	1,703.3	1,790.3

Sources: Rwandan authorities, and IMF staff estimates and projections.

[1] For 2008, the increase partially reflects improvements in recording funds for projects.

[2] Net lending in 2007 incorporates RF22.1 billion in receipts from the privatization of Rwandatel.

[3] Definition excludes exceptional expenditures, defined as total revenue (excluding privatization proceeds) minus noninterest current expenditure (excluding exceptional expenditure) minus domestically financed capital expenditure.

[4] Revenue excluding grants minus current expenditure, domestically financed capital expenditure, and net lending, In 2008, excludes RF 33.4 billion received for a telephone license fee.

[5] In 2006, peacekeeping activities of RF 2.9 billion were not covered by grants.

[6] Total expenditure and net lending (excluding privatization receipts) less revenues, foreign financed project spending, and current spending on imports.

[7] A negative sign indicates a reduction.

[8] CSR = *Caisse Sociale du Rwanda*.

[9] A negative number implies underestimation of financing.

Table 2b. Rwanda: Operations of the Central Government, Fiscal Year Basis[1], 2006/07–2011/12

	2006/07	2007/08	2008/09		2009/10				2010/11	2011/12
			Total		Q3 2009	Q4 2009	Q1 2010	Total		
			Prog.	Proj.	Projection			Proj.	Proj.	Proj.
	(Billions of Rwandan francs)									
Revenue and grants	388.0	518.2	678.8	695.9	204.7	386.9	581.0	743.7	744.7	852.7
Total revenue	233.2	290.3	362.0	414.4	90.1	183.0	296.1	401.5	455.3	520.9
Tax revenue	217.6	272.4	334.8	355.9	82.8	168.0	272.0	368.0	417.7	478.7
Direct taxes	73.6	103.3	118.4	132.3	31.4	63.8	107.1	147.1	168.4	194.0
Taxes on goods and services	109.8	135.0	169.2	178.8	42.8	86.9	137.0	183.1	208.4	240.2
Taxes on international trade	34.2	34.2	47.2	44.8	8.6	17.3	27.9	37.8	40.9	44.5
Nontax revenue	15.7	17.8	27.2	58.5	7.4	15.0	24.1	33.5	37.6	42.2
ID receipts	…	…	4.0	4.0	0.8	1.5	…	1.5	…	…
Grants	154.8	227.9	316.8	281.5	114.6	203.9	285.0	342.2	289.4	331.8
Budgetary grants	101.4	168.1	188.1	190.8	87.5	150.0	195.5	215.8	169.2	185.3
Of which: HIPC Initiative assistance	7.2	1.4	3.4	2.4	0.0	1.2	1.2	3.0	3.2	3.4
Capital grants	53.4	59.8	128.7	90.7	27.1	53.9	89.5	126.4	120.2	146.5
Project grants	53.4	59.8	128.7	90.7	27.1	53.9	89.5	126.4	120.2	146.5
Total expenditure and net lending	414.2	521.8	711.5	738.9	207.8	416.2	612.4	814.4	879.3	963.0
Total expenditure and net lending excluding privatization receipts	414.2	547.5	711.5	738.9	207.8	416.2	612.4	814.4	879.3	963.0
Current expenditure	266.5	349.0	400.7	415.2	113.3	227.4	342.5	459.3	518.9	582.3
Of which: priority	139.7	151.7	226.5	218.0	64.6	128.7	193.9	259.9	...	...
Wages and salaries	71.5	76.3	92.3	91.6	26.9	53.9	80.8	107.7	121.1	136.0
Civil	48.5	55.5	66.8	66.4	19.6	39.2	58.8	78.4	88.1	98.9
Defense	22.9	20.8	25.5	25.1	7.3	14.7	22.0	29.3	33.0	37.1
Purchases of goods and services	66.4	81.6	93.6	107.5	27.6	54.7	81.1	107.5	122.7	138.0
Civil	57.5	70.4	79.0	87.4	24.6	48.1	71.3	94.5	107.9	121.3
Defense	8.9	11.2	14.6	20.1	3.0	6.6	9.7	13.0	14.8	16.7
Interest payments	12.8	13.6	13.7	12.4	3.2	6.9	9.7	13.4	14.0	14.1
Domestic debt (due)	8.7	11.1	10.4	8.4	2.3	4.4	6.5	8.6	8.7	8.8
External debt (due)	4.1	2.4	3.3	4.0	0.9	2.5	3.2	4.8	5.3	5.3
Transfers	82.4	121.8	145.2	148.0	43.8	87.8	132.9	178.9	203.0	228.9
Exceptional expenditure	33.5	55.7	55.8	55.7	11.8	24.2	38.0	51.7	58.2	65.3
Of which: FARG	10.0	14.4	13.0	12.7	4.6	9.1	14.3	20.1	20.1	20.1
Demobilization	4.2	4.3	4.8	7.0	0.9	1.8	2.7	3.6	3.6	3.6
African Union peacekeeping	6.7	12.3	17.3	19.6	5.1	10.2	15.1	20.0	18.9	19.0
Capital expenditure	131.8	188.2	298.9	307.5	92.8	185.8	265.0	348.1	353.2	373.7
Of which: priority	28.0	38.9	108.2	123.3	42.0	85.6	110.9	137.4	...	...
Domestic	42.5	87.6	130.8	140.5	46.8	95.4	123.5	153.1	171.2	192.2
Foreign[2]	89.3	100.6	168.1	167.0	46.0	90.5	141.5	195.0	182.0	181.5
Net lending and privatization receipts [3]	15.9	-15.4	11.9	16.2	1.6	2.9	4.9	7.0	7.2	7.0
Of which: priority	4.8	3.9	2.6	2.1	0.5	0.9	1.6	2.4	...	...
Of which: Rwandatel net receipts		25.7								
Of which: BK receipts										
Primary balance [4]	-29.5	-77.1	-100.0	-73.2	-55.0	-108.7	-122.3	-145.8	-49.6	-47.3
Domestic fiscal balance [5]	-87.5	-128.5	-178.1	-153.6	-70.7	-140.2	-171.6	-213.1	-236.7	-255.4
Excluding demobilization and peacekeeping expenditures [6]	-76.6	-112.0	-156.0	-126.9	-64.7	-128.2	-153.8	-189.5	-214.2	-232.8
Net liquidity impact[7]	-26.5	-78.7	-50.4	-50.1	-25.8	-51.5	-50.9	-58.9	-74.6	-73.1
Including nonbank domestic debt operations	-17.3	-96.9	-47.1	-67.8	-28.3	-56.4	-56.9	-66.8	-74.6	-73.1
Overall deficit (payment order)										
After grants	-26.1	-3.6	-32.7	-43.0	-3.0	-29.2	-31.3	-70.7	-134.6	-110.3
Before grants	-180.9	-231.6	-349.5	-324.5	-117.6	-233.2	-316.3	-412.9	-424.0	-442.1
Change in arrears [8]	-7.0	-8.6	-5.8	-7.3	-2.1	-5.1	-6.7	-8.4	-7.0	-7.0
Domestic	-7.0	-8.6	-5.8	-7.3	-2.1	-5.1	-6.7	-8.4	-7.0	-7.0
External	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Deficit (-)	-33.1	-12.2	-38.5	-50.3	-5.1	-34.3	-38.0	-79.1	-141.6	-117.3

Table 2b. Rwanda: Operations of the Central Government, Fiscal Year Basis[1], 2006/07–2011/12 (concluded)

	2006/07	2007/08	2008/09		2009/10				2010/11	2011/12
			Total		Q3 2009	Q4 2009	Q1 2010	Total		
			Prog.	Proj.	Projection			Proj.	Proj.	Proj.
	(Billions of Rwandan francs)									
Financing	40.7	11.3	38.5	50.2	5.1	34.3	38.0	79.1	141.6	117.3
Foreign financing (net)	38.7	42.8	33.8	72.6	18.2	34.5	49.2	63.3	141.6	117.3
Drawings	44.2	47.9	40.2	77.0	19.0	36.6	52.0	68.6	148.9	127.6
Budgetary loans	8.3	5.2	0.7	0.7	0.0	0.0	0.0	0.0	87.1	92.6
Project loans	36.0	42.7	39.5	76.3	19.0	36.6	52.0	68.6	61.8	35.0
Amortization	-5.6	-5.1	-6.3	-4.4	-0.8	-2.1	-2.8	-5.3	-7.3	-10.3
Exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net domestic financing	2.1	-31.5	4.7	-22.3	-13.1	-0.2	-11.1	15.8	0.0	0.0
Net credit from banking system	-7.2	-13.4	1.4	-4.6	-10.6	4.7	-5.2	23.7	0.0	0.0
Nonbank sector (including CSR repayment) [9]	9.3	-18.1	3.3	-17.7	-2.5	-4.9	-6.0	-7.9	0.0	0.0
Errors and omissions / Financing gap [10]	7.6	-0.9	0.1	-0.1	0.0	0.0	0.0	0.0	0.0	0.0
	(Percent of GDP, unless otherwise indicated)									
Memorandum items:										
Revenue and grants	22.6	24.1	26.8	26.2	6.7	12.7	19.1	24.4	21.9	22.5
Grants	9.0	10.6	12.5	10.6	3.8	6.7	9.4	11.2	8.5	8.7
Revenue, excluding grants	13.6	13.5	14.3	15.6	3.0	6.0	9.7	13.2	13.4	13.7
Revenue, excluding grants (percent of monetized sector GDP)	21.2	21.0	22.8	24.8	4.8	9.7	15.6	21.3	21.7	22.1
Total expenditure and net lending	24.1	24.3	28.1	27.8	6.8	13.7	20.1	26.7	25.8	25.4
Total expenditure and net lending excluding privatization receipts	24.1	25.4	28.1	27.8	6.8	13.7	20.1	26.7	25.8	25.4
Of which: total priority expenditures	10.1	9.0	13.3	12.9	3.5	7.1	10.1	13.1	...	...
Total expenditure	23.2	25.0	27.6	27.2	6.8	13.6	19.9	26.5	25.6	25.2
Current expenditure	15.5	16.2	15.8	15.6	3.7	7.5	11.2	15.1	15.2	15.3
Of which: wage bill	4.2	3.5	3.6	3.4	0.9	1.8	2.7	3.5	3.6	3.6
goods and services	3.9	3.8	3.7	4.0	0.9	1.8	2.7	3.5	3.6	3.6
Of which: defense/security	1.9	1.5	1.6	1.7	0.3	0.7	1.0	1.4	1.4	1.4
exceptional expenditure	2.0	2.6	2.2	2.1	0.4	0.8	1.2	1.7	1.7	1.7
Capital expenditure	7.7	8.7	11.8	11.6	3.0	6.1	8.7	11.4	10.4	9.8
Domestic fiscal balance	-5.1	-6.0	-7.0	-5.8	-2.3	-4.6	-5.6	-7.0	-7.0	-6.7
Excluding demobilization and peacekeeping expenditures [5]	-4.5	-5.2	-6.2	-4.8	-2.1	-4.2	-5.0	-6.2	-6.3	-6.1
Of which : domestic expenditure	18.1	18.7	20.4	20.4	5.1	10.2	14.8	19.4	19.7	19.9
Net liquidity impact[7]	-1.5	-3.7	-2.0	-1.9	-0.8	-1.7	-1.7	-1.9	-2.2	-1.9
Including nonbank domestic debt operations	-1.0	-4.5	-1.9	-2.6	-0.9	-1.9	-1.9	-2.2	-2.2	-1.9
Primary balance [4]	-1.7	-3.6	-3.9	-2.8	-1.8	-3.6	-4.0	-4.8	-4.8	-4.6
Overall deficit (payment order)										
After grants	-1.5	-0.2	-1.3	-1.6	-0.1	-1.0	-1.0	-2.3	-4.0	-2.9
Before grants	-10.5	-10.8	-13.8	-12.2	-3.9	-7.7	-10.4	-13.6	-12.5	-11.6
Net domestic financing	0.1	-1.5	0.2	-0.8	-0.4	0.0	-0.4	0.5	0.0	0.0
Net credit from banking system	-0.4	-0.6	0.1	-0.2	-0.3	0.2	-0.2	0.8	0.0	0.0
Nominal GDP (RF billions)	1,715.0	2,151.7	2,535.4	2,657.4	3,046.4	3,046.4	3,046.4	3,046.4	3,403.2	3,796.4
Of which: monetized sectors	908.1	1,380.9	1,591.3	1,667.9	1,895.4	1,895.4	1,895.4	1,888.1	2,102.4	2,352.1

Sources: Rwandan authorities, and IMF staff estimates and projections.

[1] Fiscal year runs from July to June.
[2] For 2008/09, the increase partially reflects improvements in recording funds for projects.
[3] Net lending in 2007/08 incorporates RF35.7 billion in receipts from the privatization of Rwandatel.
[4] Definition excludes exceptional expenditures, defined as total revenue (excluding privatization proceeds) minus noninterest current expenditure (excluding exceptional expenditure) minus domestically financed capital expenditure.
[5] Revenue excluding grants minus current expenditure,
[6] For 2006/07, peacekeeping activities were not fully covered by grants.
[7] Total expenditure and net lending (excluding privatization receipts) less revenues, foreign financed project spending, and current spending on imports.
[8] A negative sign indicates a reduction.
[9] CSR = *Caisse Sociale du Rwanda.*
[10] A negative number implies an underestimate of financing.

Table 3. Rwanda: Monetary Survey, 2006–10

	2006	2007	2008					**2008** [1]	2009					2010	
			March	June	Sept.	December		**December**	March		June	Sept.	Dec.	March	June
						Prog.	Act.	**Act.**	Proj.	Act.	Proj.	Proj.	Proj.	Proj.	Proj.
						(Billions of Rwanda francs)									
Monetary authorities															
Net foreign assets	225.0	281.8	296.5	331.0	319.2	275.7	325.6	325.6	311.6	272.2	312.6	341.6	326.1	325.0	301.8
Foreign assets	241.2	300.6	318.6	358.7	343.3	292.0	333.4	333.4	335.7	280.7	323.9	350.3	334.8	333.6	310.5
Foreign liabilities[2]	16.3	18.8	22.1	27.7	24.1	16.4	7.8	7.8	24.1	8.5	11.3	8.7	8.7	8.7	8.7
Net domestic assets	-153.1	-187.9	-191.5	-220.9	-206.8	-167.4	-209.6	-209.6	-184.9	-160.1	-202.9	-227.8	-209.3	-205.6	-176.3
Domestic credit	-119.4	-152.6	-154.2	-189.8	-165.4	-131.4	-168.7	-168.7	-154.6	-116.3	-154.8	-179.7	-159.8	-156.1	-127.3
Government (net)	-71.6	-98.8	-120.7	-159.8	-135.6	-73.6	-158.5	-158.5	-132.7	-122.4	-130.9	-177.2	-149.9	-159.9	-131.0
Claims	41.8	41.2	41.2	39.7	39.7	41.0	39.7	39.7	38.9	45.2	39.4	39.4	38.9	38.9	38.9
Deposits (excluding autonomous bodies)[2]	113.4	140.0	161.9	199.5	175.4	114.6	198.3	198.3	171.6	167.6	170.3	216.6	188.8	198.8	169.9
Public nongovernment deposits (-)	-2.0	-1.3	-0.2	-0.5	-0.5	-0.9	-0.5	-0.5	-0.3	-0.5	-0.6	-0.9	-1.0	-0.9	-1.0
Nongovernment credit	-45.8	-52.5	-33.3	-29.5	-29.3	-56.9	-9.7	-9.7	-21.6	6.6	-23.3	-1.7	-8.8	4.8	4.7
Private sector	3.5	4.8	4.7	5.1	5.4	4.0	5.4	5.4	5.8	5.7	7.1	5.7	5.9	5.7	5.9
Public enterprises	--	--	--	--	--	--	--	--	--	--	--	--	--	--	--
Commercial banks	-49.3	-57.3	-38.0	-34.7	-34.7	-60.9	-15.1	-15.1	-27.4	0.9	-30.4	-7.4	-14.8	-1.0	-1.2
Discount window	1.2	1.3	1.3	1.5	1.3	1.3	1.5	1.5	1.3	0.9	1.3	1.3	0.9	0.9	0.9
Money market (- = absorption)	-50.5	-58.6	-39.2	-36.2	-36.0	-62.2	-16.6	-16.6	-28.7	--	-31.7	-8.7	-15.7	-1.9	-2.1
Other items (net; asset +)	-33.8	-35.4	-37.3	-31.1	-41.4	-36.0	-41.0	-41.0	-30.3	-43.8	-48.1	-48.1	-49.5	-49.5	-49.0
Reserve money [3, 4]	71.8	93.9	104.9	110.1	112.4	108.3	115.9	115.9	126.7	112.1	109.7	113.8	116.9	119.4	125.6
Currency in circulation	54.6	67.3	64.4	74.7	77.0	72.0	82.9	80.9	78.2	66.3	72.2	70.4	72.5	78.9	78.9
Commercial bank reserves	15.1	24.0	34.2	32.5	26.2	34.0	23.3	32.7	46.4	43.5	33.8	39.7	40.6	36.8	42.9
Nonbank deposits	2.1	2.6	6.4	2.9	9.1	2.3	9.8	2.3	2.1	2.3	3.7	3.7	3.7	3.7	3.7
Of which: autonomous public agencies	0.4	0.1	--	--	--	--	--	--	--	--	--	--	--	--	--
Commercial banks															
Net foreign assets	60.1	69.6	70.7	73.9	74.4	72.2	77.7	78.2	92.1	76.5	73.8	74.5	77.3	72.3	77.3
Foreign assets	70.9	86.8	86.7	91.8	92.6	89.6	96.3	96.8	110.6	97.2	96.8	96.8	100.3	98.3	100.3
Foreign liabilities	10.8	17.2	16.0	17.9	18.2	17.4	18.6	18.6	18.5	20.7	23.0	23.0	23.0	26.0	23.0
Reserves	15.1	24.0	34.2	32.5	26.2	34.0	23.3	32.7	46.4	43.5	33.8	39.7	40.6	36.8	42.9
NBR deposits	11.3	18.6	26.0	24.9	17.4	31.0	17.6	25.1	37.9	33.0	24.3	27.1	28.1	24.3	29.9
Required reserves	18.8	24.4	26.3	27.1	28.1	30.4	27.4	34.2	38.3	20.3	20.7	22.0	22.0	23.3	23.5
Excess reserves	-7.5	-5.8	-0.3	-2.2	-10.7	0.6	-9.8	-9.1	-0.4	12.7	3.7	5.0	6.2	0.9	6.5
Cash in vault	3.8	5.4	8.1	7.6	8.9	3.0	5.6	7.6	8.5	10.5	9.5	12.6	12.5	12.5	13.0
Net credit from NBR (rediscount; liability -)	49.3	57.3	38.0	34.7	34.7	60.9	15.1	15.1	27.4	-0.9	30.4	7.4	14.8	1.0	1.2
Domestic credit	158.7	218.5	220.1	225.3	241.2	243.4	258.4	352.9	360.7	333.4	324.7	346.2	345.9	377.7	387.1
Government (net)	-2.3	25.4	19.7	13.0	8.7	0.8	15.7	16.2	11.3	-2.0	-4.6	-6.0	-12.0	-12.0	-12.0
Credit	25.6	40.6	37.4	30.3	24.9	33.4	27.7	29.3	27.2	23.7	16.7	21.7	21.7	21.7	21.7
Deposits	27.9	15.2	17.6	17.2	16.2	32.6	12.0	13.1	15.9	25.7	21.3	27.7	33.7	33.7	33.7
Public enterprises	2.4	1.7	1.4	1.4	1.5	1.7	1.6	1.6	1.5	2.6	1.4	1.4	1.4	1.4	1.4
Private sector	158.7	191.3	199.0	210.9	231.0	240.9	241.0	335.0	347.9	332.9	327.9	350.7	356.5	388.3	397.7
Other items (net; asset +)	-53.1	-64.1	-70.1	-72.7	-63.5	-62.5	-71.4	-96.0	-63.8	-94.9	-99.0	-81.0	-99.0	-81.0	-99.0
Deposits	230.2	305.3	292.8	293.7	312.9	348.0	303.1	382.9	462.8	358.4	363.7	386.7	379.6	406.8	409.4
Private	185.8	246.9	242.8	248.6	255.1	289.6	248.1	326.0	397.3	306.7	310.0	332.0	325.7	349.4	350.8
Public (nongovernment)	44.4	58.4	50.1	45.2	57.8	58.4	55.0	56.9	65.5	51.7	53.7	54.7	53.9	57.4	58.6

Table 3. Rwanda: Monetary Survey, 2006–10 (concluded)

	2006 [1]	2007	2008					**2008 [1]**	2009					2010	
			March	June	Sept.	December		**December**	March		June	Sept.	Dec.	March	June
			Act.	Act.	Act.	Prog.	Act.	**Act.**	Proj.	Act.	Proj.	Proj.	Proj.	Proj.	Proj.
						(Billions of Rwanda francs)									
Net foreign assets	285.1	351.5	367.1	404.9	393.6	347.9	403.3	403.8	403.8	348.7	386.4	416.1	403.4	397.3	379.1
Net domestic assets	1.9	23.8	-3.5	-33.6	5.5	74.4	-7.5	62.3	139.3	77.6	53.2	44.7	52.4	92.1	113.0
Domestic credit	88.7	123.2	103.8	70.2	110.4	172.9	104.8	199.3	233.4	216.2	200.3	173.8	200.9	222.6	261.0
Government (net)	-73.9	-73.4	-101.0	-146.7	-127.0	-72.8	-142.8	-142.3	-121.4	-124.4	-135.5	-183.2	-161.9	-171.9	-143.0
Public nongovernment deposits (-)	-2.0	-1.3	-0.2	-0.5	-0.5	-0.9	-0.5	-0.5	-0.3	-0.5	-0.6	-0.9	-1.0	-0.9	-1.0
Public enterprises	2.4	1.8	1.4	1.4	1.5	1.7	1.6	1.6	1.5	2.6	1.4	1.4	1.4	1.4	1.4
Private sector	162.2	196.2	203.6	216.0	236.3	244.9	246.5	340.5	353.7	338.6	335.0	356.5	362.5	394.0	403.6
Other items (net; asset +)	-86.8	-99.4	-107.4	-103.8	-104.9	-98.5	-112.3	-137.0	-94.1	-138.7	-147.1	-129.1	-148.5	-130.5	-148.0
Broad money[5, 6]	287.0	375.2	363.6	371.3	399.1	422.3	395.8	466.1	543.1	427.0	439.6	460.8	455.9	489.4	492.1
Currency in circulation	54.6	67.3	64.4	74.7	77.0	72.0	82.9	80.9	78.2	66.3	72.2	70.4	72.5	78.9	78.9
Deposits	232.3	307.9	299.2	296.6	322.0	350.3	312.9	385.2	464.9	360.7	367.4	390.4	383.3	410.5	413.1
Of which: foreign currency deposits	52.5	62.7	64.6	67.4	70.3	72.2	74.7	74.7	91.9	71.6	86.0	74.5	86.0	85.6	85.4
						(Annual changes in percent of beginning-of-period broad money)									
Net foreign assets	28.7	23.1	38.3	18.7	22.4	-1.9	13.8	13.9	8.2	-5.1	-7.3	4.9	1.9	9.7	-5.1
Net domestic assets	2.6	7.6	-7.0	2.5	-2.0	14.3	-8.3	10.3	40.7	22.3	25.2	10.4	-3.9	4.5	16.2
Domestic credit	8.2	12.0	-5.4	1.5	-2.9	15.2	-4.9	20.5	35.5	30.9	34.9	15.9	0.4	0.1	13.7
Government (net)	-5.6	0.2	-16.6	-9.9	-15.7	2.1	-18.5	-18.1	-5.6	-6.4	3.0	-14.1	-4.2	-12.3	-1.7
Economy	13.8	11.9	11.2	11.5	12.8	13.1	13.6	38.6	41.1	37.4	31.9	29.9	4.6	12.4	15.4
Other items (net; asset +)	-5.6	-4.4	-1.6	1.0	0.9	-0.9	-3.4	-10.2	5.1	-8.6	-9.7	-5.5	-4.2	4.4	2.5
Broad money	31.3	30.8	31.2	21.2	20.4	12.3	5.5	24.2	48.9	17.4	17.9	15.3	-2.4	14.2	11.1
						(Annual percent changes)									
Net foreign assets	28.2	23.3	40.6	16.5	23.3	-2.0	14.7	14.9	8.0	-5.0	-6.5	1.0	2.3	11.7	-5.6
Net domestic assets	-150.0	1,163.8	-122.0	-18.6	-54.2	258.4	-131.6	162.1	-4,061.5	-2,305.9	-253.5	360.6	-25.5	2.8	112.3
Domestic credit	25.2	38.9	-12.6	7.2	-8.0	49.4	-14.9	62.8	124.9	108.2	185.2	57.4	0.8	0.2	30.3
Government (net)	20.0	-0.7	84.1	26.2	69.5	-10.0	94.5	91.7	20.2	23.2	-7.7	44.3	13.8	43.9	5.6
Economy	22.8	20.9	17.9	19.3	21.8	25.0	25.9	73.7	73.2	66.3	54.8	50.4	6.2	15.5	20.3
Other items (net; asset +)	16.3	14.5	4.4	-2.8	-2.9	3.7	13.0	38.9	-16.6	29.1	32.4	8.2	15.2	-8.9	-6.9
						(In percent, unless otherwise indicated)									
Memorandum items:															
Currency/broad money ratio	19.0	17.9	17.7	20.1	19.3	17.0	20.9	17.4	14.4	15.5	16.4	16.1	15.9	16.1	16.0
Reserve money annual growth	11.9	30.7	31.7	23.0	24.6	15.4	23.5	23.5	20.7	6.8	-0.4	6.5	0.8	6.5	14.5
Reserves/deposits	31.2	30.8	35.8	37.5	35.9	31.1	38.3	30.3	27.4	31.3	30.2	29.4	30.8	29.4	30.7
Money multiplier	4.0	4.0	3.5	3.4	3.6	3.9	3.4	4.0	4.3	3.8	4.0	4.1	3.9	4.1	3.9
Velocity of broad money (end of period)	5.4	5.0	6.7	6.6	6.1	4.9	6.2	5.2	4.6	6.7	6.5	6.5	6.3	6.2	6.2
Net open position of the NBR (RF billion)	219.1	275.6	289.7	324.0	310.7	269.9	317.9	317.9	304.3	267.6	307.4	319.8	321.0	319.8	296.7
Net open position of commercial banks (RF billion)	13.5	13.2	12.9	13.5	12.6	2.0	10.7	11.2	0.2	9.4	-10.5	2.2	0.0	2.2	0.0
Extended broad money (RF billion)[7]	333.8	438.2	431.2	444.1	477.1	491.1	473.7	473.7	…	…	…	…	…	…	…
Nominal GDP (RF billion)	1,563.8	1,866.1	…	…	…	2,081.1	2,437.2	2,437.2	…	…	…	…	2,877.5	…	3,591.1

Source: National Bank of Rwanda (NBR); and IMF staff estimates and projections.

[1] Reflects the operations of the Union Banques Populaires du Rwanda (UBPR)—a large microfinance network— which was transformed into a commercial bank in Febuary 2008.

[2] The IMF's MDRI reduced foreign liabilities at the NBR by RF 42.4 million with a counter entry in government deposits (in January 2006).

[3] The definition of reserve money as performance criterion or structural benchmark differs from the definition in the monetary program in that it excludes the deposits of a defunct savings bank, import deposits, and dormant accounts. It includes old notes demonetized at the end of 2004 but in circulation until the end of 2005.

[4] The reserve money target for 2007 is derived by applying the programmed growth rate of 13 percent to the rebased 2006 outcome. The rebased 2006 outcome was calculated by allowing banks to meet the legal reserve requirement on deposits (banks' reserves at the end of December 2006 fell short of the requirement by RF 7.5 billion, they met the requirement because it is based on an average over two weeks; plus (2) a liquidity reserve of RF 3 billion to ensure sufficient financing in banks' branches.

[5] From December 2005 on, includes *Caisse Hypothecaire du Rwanda* (BHR) deposits (RF 1 billion at end-2005).

[6] End-2006 broad money includes RF5 billion temporary build up of local government deposits, which were unwound by February 2007.

[7] Broad money plus deposits in the *Union de Banques Populaires de Rwanda* (UBPR) through December 2008 and Rwanda Development Bank (BRD).

Table 4. Rwanda: Balance of Payments, 2006-14
(Millions of U.S. dollars, unless otherwise indicated)

	2006	2007 Est.	2008 Est.	2009 Proj.	2010	2011	2012	2013	2014
					Projection				
Exports, f.o.b.	147.3	176.8	256.5	198.5	244.0	280.6	318.3	351.0	387.3
Of which: coffee	54.0	35.7	46.9	50.6	65.1	62.5	67.5	71.1	73.3
tea	31.9	31.5	40.1	47.9	55.2	66.5	73.5	81.3	89.8
Imports, f.o.b.	446.4	581.2	880.7	831.0	894.4	947.8	1016.0	1106.7	1220.3
Trade balance	-299.1	-404.4	-624.2	-632.5	-650.4	-667.2	-697.7	-755.6	-833.0
Services (net)[1]	-132.3	-123.2	-102.8	-269.3	-252.7	-214.2	-191.0	-158.0	-93.1
Income	-28.7	-17.2	-35.1	-61.7	-66.0	-70.7	-68.4	-73.5	-77.8
Of which: interest on public debt[2]	-10.2	-6.3	-6.7	-7.2	-7.5	-9.5	-10.8	-12.2	-13.7
Current transfers (net)[3]	325.8	461.3	518.5	634.2	466.4	438.0	431.4	452.5	475.8
Private	77.2	98.8	72.6	73.8	77.3	83.9	91.3	99.3	108.1
Public	248.7	362.5	445.9	560.4	389.2	354.1	340.1	353.2	367.7
Of which: HIPC grants	22.2	4.5	6.6	5.2	4.9	4.5	5.0	5.5	5.6
Current account balance (including official transfers)	-134.3	-83.5	-243.5	-329.2	-502.6	-514.1	-525.8	-534.6	-528.1
Current account balance (excluding official transfers)	-383.0	-446.0	-689.4	-889.6	-891.8	-868.2	-865.8	-887.8	-895.8
Capital account	1323.7	92.3	172.1	148.3	211.8	209.8	190.9	194.6	198.4
Capital transfers	173.7	92.3	172.1	148.3	211.8	209.8	190.9	194.6	198.4
IMF-MDRI relief	76.6								
Debt forgiveness (IDA and AfDF-MDRI Relief)	1150.0								
Financial account	-1109.9	180.5	182.1	162.0	261.8	300.0	344.7	381.4	389.9
Direct investment	30.6	82.3	103.4	65.0	91.0	104.7	120.3	132.4	139.0
Public sector capital	46.1	79.9	103.2	117.3	142.7	193.3	206.2	214.1	224.5
Long-term borrowing[4]	68.4	88.2	110.5	128.5	154.6	209.7	226.1	236.2	247.3
Scheduled amortization[5]	-22.3	-8.3	-7.3	-11.2	-11.9	-16.4	-19.9	-22.1	-22.9
Other capital[6]	-1186.5	18.3	-24.4	-20.3	28.1	2.1	18.1	34.9	26.5
Capital and financial account balance	213.8	272.9	354.2	310.4	473.6	509.8	535.6	576.0	588.3
Errors and omissions/Financing gap	3.0	-81.5	-46.0	0.0	0.0	0.0	0.0	0.0	0.0
Overall balance	82.5	107.9	64.7	-18.8	-29.0	-4.3	9.8	41.4	60.2
Financing	-82.5	-107.9	-64.7	17.1	29.0	4.3	-9.8	-41.4	-60.2
Change in net foreign assets of NBR (increase -)	-82.5	-107.9	-64.7	17.1	29.0	4.3	-9.8	-41.4	-60.2
Net credit from the Fund	-72.5	3.4	3.7	1.7	-0.1	-0.6	-1.0	-1.7	-2.5
Disbursements/purchases	4.1	3.4	3.7	1.7	0.0	0.0	0.0	0.0	0.0
Repayments/repurchases	-76.6	0.0	0.0	0.0	-0.1	-0.6	-1.0	-1.7	-2.5
Change in other gross official reserves (increase -)	-33.8	-112.7	-44.1	16.0	29.1	4.9	-8.8	-39.7	-57.7
Change in other foreign liabilities (increase +)	23.8	1.5	-24.3	-0.6	0.0	0.0	0.0	0.0	0.0
Change in arrears (decrease -)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Financing need	0.0	0.0	0.0	1.7	0.0	0.0	0.0	0.0	0.0
Memorandum items:									
Current account deficit (percent of GDP)									
Excluding official transfers	-13.5	-13.1	-15.5	-17.8	-16.8	-15.3	-14.1	-13.3	-12.4
Including official transfers	-4.7	-2.4	-5.5	-6.6	-9.5	-9.0	-8.5	-8.0	-7.3
Gross official reserves	439.6	552.4	596.4	580.4	551.3	546.4	555.2	594.8	652.5
Gross official reserves (months of imports of G&NFS)	5.6	4.8	5.3	4.8	4.4	4.0	3.8	3.9	4.0
Gross official reserves (including SDR allocation; months of imports of G&NFS)	5.6	4.8	5.3	5.5	5.0	4.6	4.4	4.4	4.4
Overall balance (percent of GDP)	2.9	3.2	1.5	-0.4	-0.5	-0.1	0.2	0.6	0.8
Total external debt[7]	485.6	573.7	677.7	837.1	1015.0	1173.4	1367.2	1575.7	1793.9
Total external debt (percent of GDP)	17.1	16.8	15.2	16.7	19.2	20.6	22.2	23.6	24.9
Debt service ratio (percent of exports)	2.9	2.4	1.1	2.9	2.6	3.3	3.5	3.5	3.3

Sources: Rwandan authorities; and IMF staff estimates and projections.

[1] Revision of methodology resulted in sharp increase of tourism revenues from 2008, thus increasing export of services.

[2] Including interest due to the Fund.

[3] Current transfers include disbursed budgetary and HIPC grants and humanitarian and technical assistance.

[4] Includes project and budgetary loans.

[5] Excluding payments to the Fund.

[6] Other capital includes long-term private capital, commercial credit, change in the net foreign assets of commercial banks, and unrecorded imports.

[7] After rescheduling, including arrears and new debt.

Table 5. Rwanda: Financial Soundness Indicators for the Banking Sector, 2006–March 2009
(Ratios, in percent)

Financial soundness indicators	2006	2007	Jun 2008	Dec 2008	Mar 2009
Capital adequacy					
Solvency ratio	13.7	16.6	16.6	15.9	19.1
Off balance sheet items/Total qualifying capital	334.8	305.6	103.8	210.2	182.6
Insider loans/Core capital	45.2	57.9	9.7	18.2	9.2
Large exposures/Core capital	131.6	127.7	82.3	80.2	92.7
Asset quality					
NPL's/Gross loans	25.0	18.1	12.0	12.6	13.9
Provisions/NPL's	83.5	67.0	75.5	66.3	66.9
Earning assets/Total assets	85.3	59.6	80.9	82.4	78.3
Large exposures/Gross loans	20.2	21.2	15.3	13.5	18.4
Profitability and earnings					
Return on assets	2.4	1.5	3.0	2.3	1.7
Return on equity	27.0	15.5	24.4	18.0	11.8
Net interest margin	8.0	5.2	10.1	9.8	10.2
Cost of deposits	2.4	2.4	0.9	1.8	1.7
Cost to income	76.7	80.2	61.0	77.8	83.7
Overhead to income	46.2	44.2	38.6	48.8	43.7
Liquidity					
Short-term gap	34.2	21.5	25.5	21.3	18.3
Liquid assets/Total deposits	64.7	76.4	60.4	61.1	64.4
Interbank borrowings/Total deposits	11.3	10.3	5.7	8.1	9.3
NBR borrowings/Total deposits	0.3	0.2	0.1	0.2	0.1
Gross loans/Total deposits	71.1	63.3	85.2	99.5	88.9
Market sensitivity					
Forex exposure/Core capital	9.0	38.6	57.2	46.7	0.5
Forex loans/Forex deposits	0.8	1.0	0.5	0.5	0.4
Forex assets/Forex liabilities	104.4	112.0	105.4	102.5	93.5

Source: National Bank of Rwanda.

Table 6. Rwanda: Millennium Development Goals

	1990	1995	2000	2007
Goal 1: Eradicate extreme poverty and hunger				
Employment to population ratio, 15+, total (%)	*87*	87	84	*80*
Employment to population ratio, ages 15-24, total (%)	*79*	80	73	*64*
Income share held by lowest 20%	..	..	5.3	..
Malnutrition prevalence, weight for age (% of children under 5)	*24.3*	..	20.3	*18.0*
Poverty headcount ratio at national poverty line (% of population)	..	*51.2*	60.3	*56.9*
Prevalence of undernourishment (% of population)	*45*	*56*	..	*40*
Vulnerable employment, total (% of total employment)	..	*93*	..	..
Goal 2: Achieve universal primary education				
Literacy rate, youth female (% of females ages 15-24)	..	..	77	..
Literacy rate, youth male (% of males ages 15-24)	..	..	79	..
Persistence to last grade of primary, total (% of cohort)	..	..	27	..
Primary completion rate, total (% of relevant age group)	37	..	21	..
Total enrollment, primary (% net)	..	..	*69*	94
Goal 3: Promote gender equality and empower women				
Proportion of seats held by women in national parliament (%)	17	*17*	17	49
Ratio of female to male enrollments in tertiary education	..	..	44	*62*
Ratio of female to male primary enrollment	92	..	97	102
Ratio of female to male secondary enrollment	*73*	..	94	89
Ratio of young literate females to males (% ages 15-24)	..	..	98	..
Share of women employed in the nonagricultural sector (% of total nonagricultural employment)	..	32.4	33.0	..
Goal 4: Reduce child mortality				
Immunization, measles (% of children ages 12-23 months)	83	84	74	99
Mortality rate, infant (per 1,000 live births)	117	115	113	109
Mortality rate, under-5 (per 1,000)	195	193	189	181
Goal 5: Improve maternal health				
Adolescent fertility rate (births per 1,000 women ages 15-19)	..	*58*	50	40
Births attended by skilled health staff (% of total)	*26*	..	31	*39*
Contraceptive prevalence (% of women ages 15-49)	*21*	*14*	13	*17*
Maternal mortality ratio (modeled estimate, per 100,000 live births)	..	..	..	*1,300*
Pregnant women receiving prenatal care (%)	*94*	..	92	*94*
Unmet need for contraception (% of married women ages 15-49)	*39*	..	36	*38*
Goal 6: Combat HIV/AIDS, malaria, and other diseases				
Children with fever receiving antimalarial drugs (% of children under age 5 with fever)	..	..	13	*12*
Condom use, population ages 15-24, female (% of females ages 15-24)	..	..	3	*5*
Condom use, population ages 15-24, male (% of males ages 15-24)	..	..	24	*19*
Incidence of tuberculosis (per 100,000 people)	167	241	348	*397*
Prevalence of HIV, female (% ages 15-24)	..	..	..	1.4
Prevalence of HIV, total (% of population ages 15-49)	9.2	7.0	4.7	2.8
Tuberculosis cases detected under DOTS (%)	..	34	32	*25*
Goal 7: Ensure environmental sustainability				
Annual freshwater withdrawals, total (% of internal resources)	..	..	*1.6*	..
CO2 emissions (kg per PPP $ of GDP)	0.1	0.2	0.1	*0.1*
CO2 emissions (metric tons per capita)	0.1	0.1	0.1	*0.1*
Forest area (% of land area)	13	13	14	*19*
Improved sanitation facilities (% of population with access)	29	26	25	*23*
Improved water source (% of population with access)	65	64	65	*65*
Marine protected areas, (% of surface area)	..	..	..	..
Nationally protected areas (% of total land area)	..	..	..	*8.1*
Goal 8: Develop a global partnership for development				
Aid per capita (current US$)	39	123	39	*73*
Debt service (PPG and IMF only, % of exports of G&S, excl. workers' remittances)	10.0	20.0	25.0	*3.0*
Internet users (per 100 people)	0.0	*0.0*	0.1	*1.1*
Mobile phone subscribers (per 100 people)	0.0	0.0	0.5	7.0
Telephone mainlines (per 100 people)	0.0	0.0	0.0	0.0
Other				
Fertility rate, total (births per woman)	7.4	6.4	6.0	5.9
GNI per capita, Atlas method (current US$)	350	220	240	320
GNI, Atlas method (current US$) (billions)	2.5	1.3	2.0	3.1
Gross capital formation (% of GDP)	14.6	13.4	18.3	21.2
Life expectancy at birth, total (years)	32	31	40	46
Literacy rate, adult total (% of people ages 15 and above)	*58*	..	65	..
Population, total (millions)	7.3	5.6	8.2	9.7
Trade (% of GDP)	19.7	31.0	34.4	38.2

Source: World Development Indicators database.

Figures in italics refer to periods other than those specified.

Table 7. Rwanda: Proposed Schedule of Disbursements Under the PRGF Arrangement, 2009

Date	Conditions necessary for disbursement	Amount	
		(In millions of SDRs)	(In percent of quota)
August 5, 2009	Observance of quantitative performance criteria for December 31, 2008, completion of the sixth review under the arrangement.	1.17	1.46